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Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECOA00 - RURAL MARKETING AND AGRI-BUSINESS MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 2 Hours Maximum Marks: 70

Remember(K), Understand(U), Apply(A), Analyse (An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation (Ap)

Part A-One or Two Sentence Answers (Max. 50 Words)

Answer any 10 questions-Each question carries 3 marks

1. Local customs and beliefs strongly influence rural consumption patterns. Cultural traditions determine product preferences, festivals influence demand, and social norms affect buying decisions. Consumers often prefer familiar and locally accepted products, making culture a key factor in rural marketing.

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2. Price information helps farmers decide when and where to sell produce. Weather forecasting helps in planning sowing, irrigation, and harvesting. Together, they reduce risk and improve income by enabling better decision-making.

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3. Small sachets are affordable and suit daily cash-based purchases. They reduce financial risk and encourage trial. Their small size and low price make them popular among low-literacy consumers.

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4. Two reforms are introduction of e-NAM digital trading and promotion of direct marketing/contract farming. These reforms reduce intermediaries and improve price realization.

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5. Demo-based promotion shows product usage practically. For example, demonstrating a pesticide in a field to show its effectiveness helps farmers trust and adopt the product.

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6. Dispersed population, low income levels, and seasonal demand patterns are key characteristics. Rural markets also show high price sensitivity and reliance on traditional retail.

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7. Lack of cold storage facilities, poor refrigeration technology, and weak transportation systems are major technology gaps affecting cold chains.

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8. The Hub-and-Spoke model distributes goods from a central hub to smaller spokes like villages. It improves efficiency and reduces transportation costs.

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9. FPOs are farmer-owned organizations that pool resources for production and marketing. They improve bargaining power and income opportunities.

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10. A fragmented supply chain has many intermediaries and lacks coordination. This leads to inefficiency, higher costs, and reduced farmer income.

11. Symbols on packaging help communicate product information without text. They overcome literacy barriers and make product usage easy to understand.

12. e-NAM provides an online trading platform and integrates multiple mandis. It ensures transparency and better price discovery.

13. Kirana stores create employment, ensure availability of goods, and support local economic activity. They also build trust within communities.

14. Renewable energy supports irrigation, reduces costs, and lowers carbon emissions. Solar pumps are widely used in agriculture.

15. Poor infrastructure and dispersed population are key challenges. High transportation costs also affect last-mile delivery.

Part B -Short Answer Questions (Max. 100 words)
Answer any 4 questions -Each question carries 5 marks

16. Aspirational buying reflects rural consumers' desire for better quality and branded products as incomes rise. Value-for-money orientation means consumers carefully evaluate price versus utility. Rural buyers prefer durable and affordable products. While aspirations drive demand for modern goods, price sensitivity ensures cautious spending. Together, these factors shape rural consumption behavior.

17. Agri-tech platforms improve supply chains by enhancing transparency and efficiency. They connect farmers directly with buyers, reducing intermediaries. Digital tracking improves logistics and reduces losses. Real-time data helps in demand forecasting. These platforms lower transaction costs and increase farmer income.

18. Kirana stores interact daily with customers and observe preferences and buying patterns. They collect feedback on product quality and pricing. This information is shared with suppliers. Their proximity to consumers makes them effective real-time feedback channels.

19. Agri-tech startups introduce innovations like precision farming, digital marketplaces, and financial services. They improve productivity and reduce costs. Startups enhance supply chain efficiency and provide advisory services. They play a key role in modernizing agriculture.

20. e-NAM improves agricultural marketing by creating a unified national market. It ensures transparent price discovery. Farmers can access multiple buyers. It reduces the role of intermediaries and increases income.

21. Technology influences urban buying through online shopping, digital payments, and product comparison. Consumers rely on reviews and apps. It increases convenience and informed decision-making. It also promotes brand awareness.

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22. Last-mile delivery faces challenges like poor roads, scattered population, and high costs. Limited infrastructure and low demand density add to the problem. Weather conditions also affect delivery efficiency.

Part C-Short Essay Questions (Min. 150 Words)
Answer any 2 questions-Each question carries 10 marks

23. Kirana stores play a crucial role in rural markets by ensuring accessibility, availability, and trust. They are located within villages, making products easily accessible. They stock essential goods and sell in small quantities suited to rural consumers. Their long working hours ensure continuous availability. Informal credit facilities help customers manage irregular income. Personalized service strengthens relationships and builds trust. Store owners are known community members, which increases reliability. They also influence buying decisions through recommendations. Kirana stores act as last-mile distributors and support promotional activities. Their presence ensures consistent supply and customer satisfaction. Overall, they are central to rural retail systems.

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24. Climate-smart and ESG-based approaches aim to make agriculture sustainable. Challenges include high costs, lack of awareness, and limited access to technology. Small farmers may struggle to adopt new practices. Monitoring ESG compliance is complex. However, opportunities include improved resilience, better productivity, and environmental protection. Climate financing and government support encourage adoption. Consumer demand for sustainable products is increasing. These approaches also improve market access and export potential. Over time, benefits outweigh initial costs. They promote long-term sustainability and inclusive growth.

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25. Packaging and pricing together influence rural buying behavior significantly. Attractive packaging with bright colors and symbols helps product identification. Small sachets reduce financial risk and encourage trial. Affordable pricing increases accessibility. Visible pricing builds trust among consumers. Packaging communicates quality and usage, while pricing signals value. Poor packaging can reduce appeal even if the price is low. Similarly, high price without perceived value discourages purchase. Together, they shape consumer perception and decision-making. Effective combination leads to higher sales.

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26. Urban markets are characterized by high income levels, dense population, and advanced infrastructure. Consumers are more aware and brand-conscious. Technology adoption is high, including online shopping and digital payments. Urban buyers seek quality, convenience, and variety. Competition among firms is intense. Marketing strategies focus on differentiation and innovation. Distribution systems are well-developed. Consumer preferences change rapidly. These features make urban markets dynamic and profitable. Understanding these characteristics helps marketers design effective strategies.
